SUSTAINABLE FINANCE FOR VIKSIT BHARAT

Excerpts from the Chairman's Speech at the 55th Annual General Meeting

आरईसी REC
असीमित ऊर्जा, अनन्त संभावनाएं
Endless energy. Infinite possibilities.

> *"Our strategic objective is to scale our loan book to ₹10 lakh crore by 2030 and we are targeting to achieve a renewables loan book portfolio of ₹3 lakh crore by 2030."*



Vivek Kumar Dewangan
Chairman & Managing Director

Dear Stakeholders,

I welcome you all to the 55th Annual General Meeting of REC Limited. Creating history seems to be a new habit of REC and I am again happy to share that during FY24, REC delivered an outstanding performance across all fronts.

KEY HIGHLIGHTS FY24

Operations & Finance

- Highest ever yearly Sanctions: ₹3,58,816 crore (▲34% YoY)
- Highest ever yearly Disbursements: ₹1,61,462 crore (▲67% YoY)
- Renewable energy sanctions: ₹1,36,516 crore (▲539% YoY)
- Total Income: ₹47,214 crore (▲20% YoY)
- Net Profit: ₹14,019 crore (▲27% YoY)
- Loan book: ₹5.09 lakh crore (▲17% YoY)
- Capital Adequacy Ratio: 25.82% well above the minimum requirement of 15%
- No New NPAs during last 9 quarters

Fund Mobilisation

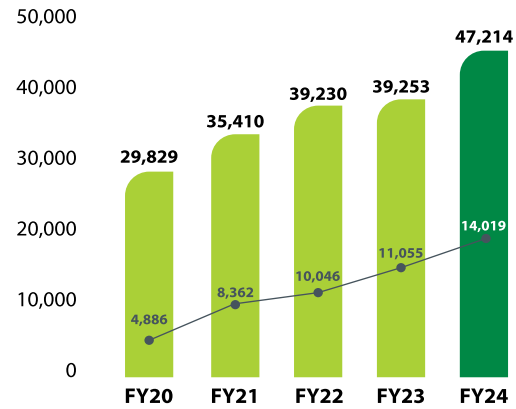
- Foreign Currency Borrowings account for 29% of the outstanding borrowing (▲25% YoY)
- Mobilized funds of ₹1,46,747 crore from the market, including ₹11,421 crore from 54EC Bonds, ₹42,437 crore from Institutional Bonds/ Subordinate Debt and ₹36,961 crore from Foreign Currency Borrowings
- Award-winning issuance of USD 750 million Green Bonds issued in April 2023 marking India's first Green Bond issuance post-G20 Presidency and the largest Senior Green Bond Tranche by a South & South-East Asian issuer
- Successfully issued inaugural Japanese Yen (JPY) 61.1 billion 5-year, 5.25-year and 10-year Green bonds, issued under US$ 10 billion Global Medium Term Notes Programme
- Received NoC from RBI to set up a subsidiary in International Financial Services Centre at GIFT City, Gandhinagar which will enhance REC's presence in global market

DIVIDEND

As one of the highest dividend-paying companies among its peers, the Board has recommended a final dividend of ₹5 per equity share, subject to your approval for the financial year 2023-24.

The total dividend for the financial year, including the proposed final dividend, amounts to ₹16 per share i.e. 160% of the paid-up share capital, compared to ₹12.60 per share i.e. 126% of the paid-up share capital, for the previous year. The total dividend payout for the financial year 2023-24, including the proposed final dividend, will be ₹4,213.16 crore.

Total Income and Profit After Tax (₹in crore)



GOVERNMENT'S PARTNER IN VIKSIT BHARAT VISION

REC continues to play a pivotal role in the Government's major schemes and has been appointed as the nodal agency for several States and Union Territories under the Revamped Distribution Sector Scheme (RDSS).

REC is also the National Program Implementation Agency for the PM Surya Ghar: Muft Bijli Yojana with a total budget of ₹75,021 crore. This initiative aims to install rooftop solar panels and provide free electricity up to 300 units per month for one crore households.

During FY24, Government of India has allocated 3.3% of GDP to infrastructure sector, with a strong focus on transport and logistics and REC being accorded the Maharatna Status, is now authorized to lend to both logistics and non-power infrastructure sectors. In FY24, REC sanctioned ₹40,569 crore to non-power infrastructure projects.